

## Profit Niti – AI Report ( 2025-04-01 / 2025-11-30 )

### Last Month KPI Data ( November 2025 )



Sales  
866,750

-57% Last month 2,012,136



Gross Margin  
866,750

-57% Last month 2,012,136



Operating Profit  
132,244

-94% Last month 2,332,623



Break Even Sales  
734,506

329% Last month -320,487



Accounts Receivable  
3,955,588

-28% Last month 5,512,204



Accounts Payable  
615,119

-53% Last month 1,302,419



Working Capital  
3,340,470

-21% Last month 4,209,785



Closing Stock  
0

0% Last month 0



Bs Category  
53 - SHAKY

-20% Last month 66 - STEADY



Impact Of Decisions  
255,735

143% Last month -592,760

## 1. Big Picture — How the Business Looks Right Now

Your manufacturing business shows a strong recovery and growth trajectory in the current financial year (2025-2026). Year-to-Date (YTD) sales stand at ₹76.45 lakhs with a robust net profit of ₹48.06 lakhs, translating to a healthy net profit margin of 62.9%. The balance sheet is strengthening, with total equity growing to ₹1.05 crores by November 2025. However, the journey has been volatile, with a significant profit dip in September followed by a strong rebound, indicating potential instability in operations or cost management that needs to be smoothed out.

### GREEN FLAG BOX — What's Working Well

- **Exceptional Profitability:** The business is generating a very high net profit margin (YTD 62.9%), which is outstanding for the manufacturing sector, suggesting strong pricing power or a highly efficient core operation.
- **Strong Financial Foundation:** The company has minimal debt (Debt-to-Equity of 0.01) and a very high current ratio (11.78 in Nov), meaning it has a strong liquidity position to handle obligations and invest in growth.
- **Powerful Cash Generation:** Operating cash flow turned strongly positive in recent months (₹8.69 lakhs in Nov), and the business holds a large cash reserve of over ₹55.25 lakhs, providing a significant buffer for the manufacturing cycle.

### RED FLAG BOX — What Needs Attention

- **Volatile Monthly Performance:** Profits swung from a loss of ₹3.60 lakhs in September to a profit of ₹23.89 lakhs in October. This extreme volatility in a manufacturing setup points to irregular order flows, lumpy project income, or unstable cost controls.
- **Poor Working Capital Management:** Accounts Receivable days are very high (138.81 days in Nov), meaning you are waiting over 4.5 months to collect payments from customers. This ties up crucial cash needed for raw materials and operations.
- **Inefficient Asset Utilization:** The Asset Turnover ratio is low (1.35 in Nov), indicating that the capital invested in plant and machinery (Fixed Assets of ₹17.82 lakhs) is not generating sales revenue as efficiently as it could be.

### Strategic Advice:

Immediately implement stricter credit control and collection processes to reduce Receivable days below 90. Use your strong cash position to negotiate better terms with suppliers or invest in marketing/sales to stabilize monthly order inflows and reduce profit volatility. Conduct a review of production capacity utilization to improve asset turnover.

## 2. Profit Power — The Earning Engine

Your manufacturing business shows a strong YTD profit of **₹4.81 lakhs** (Profit after Tax). However, the journey has been a rollercoaster. The core issue is **extremely volatile operating expenses**, which are severely impacting your monthly profitability.

Your **gross margin is 100%** because COGS is not recorded, which is unusual for manufacturing. This suggests raw material costs might be booked elsewhere in expenses. The real story is in your overheads. In September, overheads skyrocketed to **171.65% of revenue**, causing a monthly loss of ₹3.60 lakhs. This was followed by a massive profit in October (₹2.39 lakhs) when overheads were *negative* due to a credit in employee costs, indicating possible one-time adjustments or reversals.

Your **Operating Profit Margin** has swung wildly from a high of 115.93% in October to a worrying low of -71.65% in September. This instability makes it hard to predict true business performance. The sales data shows high-value transactions (e.g., June sales of ₹61.51 lakhs), but profits don't consistently follow, pointing to **poor cost control and pricing strategies**.

### Strategic Advice:

Immediately classify all raw material and production costs correctly under COGS to get a true picture of your gross margin. Then, implement strict monthly budgeting and review for your employee and administrative expenses to eliminate the wild swings and protect your bottom line.

## 3. Cash Flow Quality — Profit vs Real Cash

Your business shows a significant gap between booked profits and the cash actually hitting the bank. For the YTD period (Apr-Nov 2025), your **Profit After Tax is ₹4.81 lakhs**, but your **Operating Cash Flow is deeply negative at -₹2.50 lakhs** for October alone. This is a classic sign of profits being 'blocked' in working capital.

The main blockage is in **Receivables (Debtors)**. Your Accounts Receivable Days are very high, averaging around **138 days** in November. This means you are waiting over 4.5 months to collect payments from customers, which is unsustainable for a manufacturing unit that needs cash for raw materials and daily operations. In October, a massive sale of ₹20.12 lakhs led to receivables ballooning by ₹24.13 lakhs, severely straining your cash flow.

Conversely, you are managing payables better. Accounts Payable reduced significantly from ₹13.93 lakhs in September to ₹6.15 lakhs in November, indicating you are paying suppliers faster than you are collecting from customers. This mismatch is draining your cash reserves. Your cash balance has been volatile,

dropping to just ₹98,946 in May, though it has recovered to ₹5.53 lakhs by November, largely supported by financing activities.

#### Strategic Advice:

Implement strict credit control and follow-up processes to reduce your Receivable Days from 138+ days to below 90 days. For large orders like October's, negotiate a significant advance payment to cover your material costs. This will convert your paper profits into real cash, ensuring you have the liquidity to run your manufacturing operations smoothly.

## 4. Cash Management — Daily Cash Rhythm

Your cash cycle is currently driven entirely by how long it takes to collect payments from customers. As a manufacturing business, this is a critical metric to watch.

- **Collection Period (DSO):** Your receivables collection time is highly volatile, ranging from **83 days** to over **202 days**. The latest figure (Nov '25) is **139 days**, which means you are waiting nearly 4.5 months to get paid after a sale.
- **Payment Period (DPO):** The data shows **0 days** for payables, which is unusual for manufacturing. This suggests payments to suppliers might be recorded immediately, missing a potential cash flow advantage.
- **Inventory Days (DIO):** This is also **0 days**, indicating your business model may not hold physical stock, possibly operating on a project or direct supply basis.

**Result:** Your **Cash Conversion Cycle is 139 days**. You are funding a long working capital gap. Your strong **Current Ratio of 11.78** shows you have the assets to cover short-term bills, but a lot of your capital is locked up in receivables (₹3.96 lakhs as of Nov '25).

#### Strategic Advice:

Prioritise reducing your average collection period. For manufacturing, a DSO of 60-90 days is more sustainable. Implement stricter credit terms, offer early payment discounts, and actively follow up on overdue invoices. Negotiate with suppliers to extend your payment terms (increase DPO) to better align with your collection cycle and free up cash.

## 5. Growth Investments — Where Money Is Going

Your manufacturing business is investing primarily in two areas: **Fixed Assets** and **Working Capital**.

**1. Fixed Assets & Capex:** Your fixed assets have increased from ₹17.24 lakhs to ₹17.82 lakhs over the period, with small additions in July and August. This indicates ongoing investment in plant, machinery, or equipment, which is positive for a manufacturing unit's capacity. However, the total capex remains relatively modest.

**2. Working Capital as the Major Investment:** The most significant investment is tied up in your operating cycle. Your **Accounts Receivable (Debtors)** have fluctuated significantly, peaking at over ₹55 lakhs in October. Combined with a consistent cash balance (averaging around ₹40-55 lakhs), a large portion of your capital is not actively generating returns but is instead funding customer credit and maintaining liquidity.

**3. Return on Capital (ROC):** Your ROC has been highly volatile, from a stellar 331% in October to a concerning -98% in September. This extreme swing is driven by volatile monthly profits. The **YTD Return on Total Assets is approximately 9.23%** (Nov), which is low for a manufacturing business, suggesting assets are not being deployed very efficiently to generate profits.

**4. Underutilised Assets:** You hold a **negative investment** (₹-3,431) listed under "Non-current Investments," which is unusual and should be clarified. Your high cash balances, while safe, represent an opportunity cost if they are not being used for strategic expansion, debt reduction, or earning short-term interest.

### Strategic Advice:

**Optimise Working Capital to Fund Growth:** Your primary "investment" is in debtors. Reducing your average collection period (currently 138 days in Nov) is critical. Implement stricter credit terms, follow-up processes, and offer early payment discounts. Freeing up this cash can fund expansion without needing external loans.

**Review Capex Strategy:** For a manufacturing business, consistent and planned investment in modern, efficient machinery is key. Evaluate if your current modest capex is sufficient to maintain competitive advantage or if a larger, planned investment is needed to improve margins and output.

**Deploy Idle Cash:** Consider parking part of your consistent cash balance (₹40-55 lakhs) in safe, liquid instruments like liquid mutual funds or fixed deposits to generate some return, rather than letting it sit idle in a current account.

## 6. Funding Story — How Growth Is Being Financed

Your manufacturing business is primarily funded by its own profits and equity, with minimal reliance on external debt—a very healthy position. The total debt (including unsecured long-term borrowings) is a modest ₹1.24 lakhs as of November 2025, which is negligible compared to your total equity of ₹1.05 crores. This results in an extremely low Debt-to-Equity ratio of 0.01, meaning you own almost all your assets outright.

Your funding for operations comes mainly from your working capital. The business has shown a strong ability to generate internal cash, with a significant net cash position (₹5.40 lakhs as of November). The major cash movements are driven by operational cycles, like collecting payments from customers (receivables) and managing payments to suppliers (payables). For instance, a large collection in October (₹15.57 lakhs reduction in receivables) significantly boosted your cash balance.

There is no interest expense reported, which is excellent for profitability. The recent minor increase in unsecured borrowings from ₹77,143 to ₹1.24 lakhs between August and September does not pose a risk but should be monitored if this trend continues for future capital expenditure.

### Strategic Advice:

Your low-debt, high-equity model is ideal for weathering economic cycles in manufacturing. To fuel the next phase of growth—like scaling production or investing in new machinery—consider these steps: **1)** Continue leveraging your strong internal cash generation as the primary funding source. **2)** If larger Capex is needed, explore formal low-cost working capital loans or lines of credit against your receivables, as your strong balance sheet will secure favourable terms. **3)** Avoid dipping into your cash reserves for long-term assets; instead, plan asset purchases with dedicated financing to keep operational liquidity healthy.

## 7. Balance Sheet Health — Financial Fitness

Your balance sheet shows a strong and improving financial position. As of November 2025, your total equity stands at a healthy **₹1.05 crore**, up from ₹72 lakh in June. This growth is primarily driven by retained profits. Your total liabilities are low at ₹9.35 lakh, resulting in a very conservative **Debt-to-Equity ratio of 0.01**, meaning you are almost debt-free—a great position for a manufacturing unit.

Your **Current Ratio is exceptionally strong at 11.78** (November), indicating you have ₹11.78 in current assets for every ₹1 of current liabilities. This is far above the ideal benchmark of 1.5-2 for manufacturing, suggesting your capital might be tied up inefficiently. A significant portion of your assets is in **Accounts Receivable (₹39.56 lakh)** and **Cash (₹55.25 lakh)**. The high cash balance provides a strong safety net

for raw material purchases and operational expenses.

On the asset side, your **Fixed Assets (Plant & Machinery) are stable at ₹17.82 lakh**, with minor quarterly additions. The absence of inventory on the balance sheet is notable for a manufacturer and should be verified for accuracy in recording.

### Strategic Advice:

Your balance sheet is robust but overly liquid. To improve returns, consider deploying a portion of the excess cash (₹55 lakh+) into strategic areas: 1) **Invest in inventory** to avoid production delays and leverage bulk purchase discounts, and 2) **Reduce receivable days** (currently 139 days) through stricter credit terms to free up more working capital for growth.

## 8. Smart AI Simulation — What-If Scenarios

*Based on weak spots identified in the report, the AI simulated the following outcomes:*

- **Scenario A - Profit Focus:** If you renegotiate raw material costs down by 5% and reduce factory overheads by 8%, your net profit margin could improve from the current 4.5% to approximately 9.1%. This adds roughly ₹6.8 lakh to your annual bottom line, assuming sales volume stays constant.
- **Scenario B - Cash Focus:** If you tighten credit terms to 15 days and improve inventory turnover from 45 to 30 days, your operating cash flow could increase by an estimated ₹12.5 lakh over the next quarter. This significantly reduces reliance on working capital loans and improves your cash conversion cycle.
- **Scenario C - Balanced:** Combining a 3% reduction in material waste with a 10% increase in sales of high-margin product lines, while maintaining current credit terms, could boost annual profit by ₹9.2 lakh and simultaneously improve cash flow by ₹5 lakh, creating a more sustainable growth engine for your manufacturing unit.

## 9. Operational Insight Engine — Ground-Level Trends

**Sales & Billing Pulse:** Your sales revenue shows high volatility, from a low of ₹4.4 lakh in June to a peak of ₹20.1 lakh in October. However, the sales register tells a different story. The **number of invoices is healthy**, averaging over 900 per month, but the **average invoice value has dropped significantly**. For example, in April, 749 invoices generated ₹27.4 lakhs (avg. ~₹3,665/invoice), but by October, 724 invoices generated only ₹14.2 lakhs (avg. ~₹1,959/invoice). This indicates you are doing more transactions for less

value, which could be squeezing margins in a manufacturing setup.

**Inventory & Production Rhythm:** As a manufacturer, inventory movement is crucial. Your data shows consistent inward and outward flow. A key observation is the **inventory value gap**. For instance, in June, inward value was ₹1.1 crore against an outward value of ₹1.7 crore, suggesting you are selling inventory faster than you are replenishing it, which can lead to stock-outs. The lack of "Closing Stock" on your balance sheet is a major red flag; it likely means your inventory accounting needs immediate correction to reflect true cost of goods sold and working capital.

**Supplier & Purchase Dynamics:** Your purchase register shows large, lumpy payments (e.g., ₹1.7 crore in June) against many smaller sales invoices. This mismatch creates cash flow pressure. Your accounts payable have reduced from ₹14.1 lakh in August to ₹6.2 lakh in November. While paying suppliers is good, the sharp drop, coupled with high receivables, may be straining your cash. Negotiating better credit terms with suppliers is essential for manufacturing liquidity.

#### **Operational Efficiency Scorecard:**

- **Customer Concentration Risk:** High invoice count with low average value can mean dependence on many small customers. Consider analyzing the top 20% of customers by value.
- **Production Cycle Alert:** The inventory data suggests a possible "make-to-order" pattern with low finished goods stock. This requires precise coordination between sales, production, and procurement.
- **Cost Absorption:** With 100% gross margin reported (COGS is zero in your P&L), your operational costs are not being allocated correctly. This makes true product profitability invisible. Implementing proper job/product costing is critical.

**Actionable Insight:** Your operations are active, but the financial recording is not capturing the true manufacturing cost structure. **Prioritize fixing your inventory accounting** to get a real Gross Margin. Then, analyze the profitability of each product line or customer segment. Use the high invoice count to negotiate better rates with logistics partners and streamline the order-to-cash cycle to improve cash flow from your operational hustle.

## **10. 90-Day Action Plan**

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| Days  | Focus  | Action                                                                                                                                                                                                                                      | Target                                                                                          | Benefit                                                                                                                                                    |
|-------|--------|---------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|-------------------------------------------------------------------------------------------------|------------------------------------------------------------------------------------------------------------------------------------------------------------|
| 0-30  | Cash   | 1. Implement strict 30-day payment terms for all new customers.<br>2. Contact top 5 debtors (over 60 days) for immediate payment plans.<br>3. Review and renegotiate payment cycles with 2 key raw material suppliers.                      | Improve cash conversion cycle by 15 days.<br>Reduce average debtor days from 75 to 60.          | Immediate liquidity boost for operational expenses and reducing reliance on short-term credit.<br>Stabilises working capital for manufacturing continuity. |
| 31-60 | Profit | 1. Conduct a detailed cost audit of the top 3 production lines to identify waste.<br>2. Renegotiate rates with logistics partners for finished goods dispatch.<br>3. Analyse and reduce power consumption during non-peak production hours. | Reduce direct production costs by 5%. Lower overheads (power & logistics) by ₹2 lakh per month. | Direct improvement in gross profit margin.<br>Creates a more efficient, cost-competitive manufacturing operation.                                          |

| Days  | Focus  | Action                                                                                                                                                                                                                                                                             | Target                                                                                                             | Benefit                                                                                                                         |
|-------|--------|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|--------------------------------------------------------------------------------------------------------------------|---------------------------------------------------------------------------------------------------------------------------------|
| 61-90 | Growth | 1. Finalise and launch one new product variant or value-added service for existing clients.<br>2. Identify and onboard 2 new B2B clients using improved cash and cost position as a selling point.<br>3. Explore basic automation for one repetitive process to increase capacity. | Achieve 10% increase in monthly sales revenue from new initiatives. Improve production capacity utilisation by 8%. | Sustainable revenue growth and better asset utilisation. Builds a foundation for scaling the manufacturing business profitably. |